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FRIDAY, 2 OCTOBER 2026

YOUR 5-MINUTE EDITION

Over Coffee

AI · FOOD · FARMING

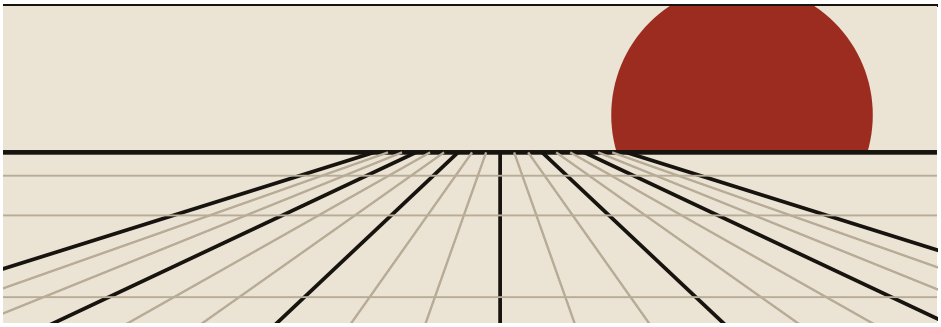
Good morning. Here's what matters.

EIGHT THINGS WORTH KNOWING TODAY

FARMING · HARVEST OUTLOOK ● CONFIRMED

A dry September cuts the wheat forecast by 7%, and the effects reach well beyond the farm

The National Grain Council now expects 24.6 million tonnes. Futures are at a four-month high; millers and bakers are watching.



The National Grain Council cut its forecast for the 2026/27 wheat harvest by 7% on Thursday, to 24.6 million tonnes. September rainfall across the main growing regions was 38% of the long-term average.

Wheat futures rose 4.2% to a four-month high after the revision. On drought-hit fields, some growers are reducing nitrogen applications rather than spending on crops unlikely to reach yield targets.

Further along the chain, the Bakers' Federation says flour makes up roughly 20% of the price of a standard loaf, so a sustained rise in wheat would reach bread prices gradually rather than all at once.

WHEAT PRODUCTION FORECAST, MILLION TONNES



Source: National Grain Council

WHY IT MATTERS A smaller harvest tightens supply for millers, livestock feed and exporters at the same time. For growers, it turns every remaining input decision into a judgement about rain.

TODAY IN BRIEF

1. The wheat harvest forecast was cut 7% after a dry September; futures hit a four-month high.
2. An AI weather model beat physics-based forecasts at 10 days in an early, unreviewed study.
3. A driverless tractor was approved to work with no operator on site.
4. Kestrel Labs cut its API price 60% with Kestrel 4 and released a smaller open-weights model.
5. A draft code would require independent audits before the most capable AI models are released.
6. Varda says waits for AI chips are down to nine weeks from 26 — the shortage is easing.
7. AI in production rose to 38% of surveyed firms, but only 9% report savings.
8. Cocoa is down 18% in a month on a bigger harvest — but shelf prices will take months to follow.

ONE THING TO REMEMBER

A smaller wheat crop is a farming story this week and a food-

WHAT CHANGED The previous estimate, published in September, assumed average rainfall. This is the Council's first downward revision of the season.

WHAT HAPPENS NEXT The Council's next estimate will show whether October rain arrives in time. Millers' forward contracts will show how much of the rise passes through.

Also matters for Food

LEARN MORE overcoffee.app/s/preview-multi-10/st-farm-wheat-forecast

price story in the months ahead.

IN THIS EDITION

Farming	3 stories
AI	4 stories
Food	1 story

Farming

LEAD STORY ON THE FRONT PAGE · 2 MORE STORIES

RESEARCH · FORECASTING ○ EMERGING · NOT YET PEER REVIEWED

A learned weather model beats physics on 10-day forecasts, in a study not yet peer reviewed

The Northern Meteorological Service will run it alongside its existing model from November. Growers are watching closely.

A machine-learning weather model developed by the Northern Meteorological Service and Aster Systems was more accurate than the leading physics-based model on 87% of the variables tested over a two-year evaluation, according to a preprint published this week. The paper has not yet been peer reviewed.

The service will run the model operationally alongside its physics model from November, while continuing to issue official forecasts from the physics model.

Also matters for AI

For agriculture, the useful horizon matters most. Agronomists say a reliable 10-day window would change how growers time planting, spraying and harvest.

WHY IT MATTERS Medium-range forecasts drive costly decisions in farming, energy and logistics. A real improvement in the 10-day window has value well beyond meteorology.

WHAT HAPPENS NEXT Peer review, and the service's own side-by-side evaluation over the winter.

LEARN MORE overcoffee.app/s/preview-multi-10/st-ai-weather-model

MACHINERY ● CONFIRMED

Driverless tractor cleared to work fields with no operator on site

One supervisor may oversee up to four machines remotely. Contractors cite night-shift labour shortages.

The Agricultural Machinery Safety Authority has approved the Fieldwright AT-7 for fully autonomous field operation without an operator on site, subject to geofencing and remote supervision of up to four machines per supervisor.

Fieldwright says deliveries begin in March 2027 and the tractor will be offered as a subscription. Contractors say harvest labour shortages are the main source of interest.

WHY IT MATTERS Approval without an on-site operator is the regulatory step that turns autonomy from a demonstration into a labour model.

LEARN MORE overcoffee.app/s/preview-multi-10/st-farm-autonomous-tractor

AI

4 STORIES

MODEL RELEASES ● CONFIRMED

Kestrel Labs cuts prices 60% with Kestrel 4 — and gives a smaller model away

The new model family is cheaper to run and, on the company's own tests, better at code. The price, not the benchmark, is the story.

Kestrel Labs released Kestrel 4 on Thursday, pricing its flagship API at $1.20 per million input tokens, 60% below Kestrel 3. It also published Kestrel 4 Mini with open weights under a licence that permits commercial use.

The company says Kestrel 4 completes 71% of tasks on its internal coding benchmark, up from 54%. That figure has not been independently tested. The technical report includes outside safety evaluations but does not disclose training compute.

Hands-on testing by Circuit Review found the Mini model runs on a single 48GB workstation GPU, putting a capable model within reach of teams that cannot or will not send data to a cloud provider.

WHY IT MATTERS For most companies, AI spending is limited by cost per task rather than by raw capability. A cut of this size changes which projects survive a budget review.

WHAT CHANGED A frontier lab releasing open weights alongside a 60% price cut resets the floor for what buyers expect to pay.

WHAT HAPPENS NEXT Analysts expect rivals to respond on price within weeks. Independent benchmark results should follow.

LEARN MORE overcoffee.app/s/preview-multi-10/st-ai-kestrel-4

API PRICE PER MILLION INPUT TOKENS



Source: Kestrel Labs

REGULATION ● CONFIRMED

Draft rules would require independent audits before major AI model releases

The Atlantic Digital Standards Board has published its first detailed code. The open question is who it covers.

The Atlantic Digital Standards Board published a draft code on Thursday that would require developers of the most capable general-purpose models to commission an independent audit before release and to publish a summary of the results.

Consultation closes on 15 December. The Board intends final rules to apply from 1 July 2027. Industry groups say the threshold that decides which models are covered is not yet clear enough to apply.

WHY IT MATTERS Pre-release audits would add time and cost to every major launch, and create a market for auditors that barely exists today.

LEARN MORE overcoffee.app/s/preview-multi-10/st-ai-audit-code

HARDWARE ● CONFIRMED

Varda says AI chip lead times have fallen to nine weeks, from 26

The shortage that shaped two years of AI spending is easing. Smaller buyers stand to gain most.

Varda Semiconductor said lead times for its V-series AI accelerators have fallen to nine weeks, from 26 weeks a year ago. Data-centre revenue rose 41% year on year to $8.4bn.

The company expects supply to stay balanced through the first half of 2027. Shares rose 6% in after-hours trading, Meridian Wire reported.

LEAD TIME FOR V-SERIES ACCELERATORS, WEEKS



Source: Varda Semiconductor

WHY IT MATTERS Access to chips, more than money or talent, has decided who could build and run large AI systems. Shorter queues open the door to smaller cloud providers and enterprises that could not secure allocation.

LEARN MORE overcoffee.app/s/preview-multi-10/st-ai-chip-lead-times

ENTERPRISE ADOPTION ● CONFIRMED

38% of companies now run AI in production. Only 9% can show savings

Adoption is accelerating. Proof of return is not.

A Halberd Institute survey of 1,200 companies found 38% have at least one AI system in production, up from 22% a year earlier. Only 9% report measurable cost savings at company level.

Data quality was the most cited barrier (61%), ahead of cost (47%). The results are self-reported.

COMPANIES WITH AI IN PRODUCTION, %



Source: Halberd Institute

WHY IT MATTERS The gap between deployment and measurable savings is where AI budgets will be tested in next year's planning rounds.

LEARN MORE overcoffee.app/s/preview-multi-10/st-ai-enterprise-survey

Food

1 STORY

COMMODITIES · REPORTED

Cocoa falls 18% on a larger harvest forecast. Shelves will lag

Chocolate makers buy months ahead; shoppers are unlikely to see the change before spring.

Cocoa futures have fallen 18% over the past month, Meridian Wire reports, as forecasts point to a larger West African harvest. The International Cocoa Producers' Forum now puts the 2026/27 global crop at 5.1 million tonnes, up 9% on last season.

Prices remain about twice their 2022 average. Because manufacturers buy cocoa months in advance, lower futures typically take six to nine months to reach shelf prices.

WHY IT MATTERS Cocoa has been one of the sharpest pressures on confectionery costs. Manufacturers' margins will recover well before shelf prices fall.

LEARN MORE overcoffee.app/s/preview-multi-10/st-food-cocoa

That's today's edition. You're done.

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